NORTHBEACON COMMERCIAL CORP.

OFFER FOR LEASE

Ayala Malls MARQUEEMALL

June 28, 2022

Dear Mr. Adrian Dimacali

We are pleased to inform you of the basic terms and conditions of our proposed lease for **MARY GRACE CAFÉ** which space is more particularly identified in the attached plan ("the Leased Premises").

PARTIES

LESSOR: NORTHBEACON COMMERCIAL CORP.

LESSEE:

Trade Name	**MARY GRACE CAFÉ**	**Nature of Business**	■ Food ☐ Non Food ☐ Service
Company Name		**Signatory**	**Mr. Adrian Dimacali**
Franchisee	☐ Yes ☐ No	**Designation**	
Authorized Dealer	☐ Yes ☐ No	**Address**	

AREA AND LEASE TERM

Location	**Level 1**	**Period (Month/Day/Year)**	
Space No.	**1152-1157**	**Lease Term**	**May 01, 2023 to September 30, 2029**
Gross Leasable Area (GLA)*	**244.04 sqm**	**Rental Commencement**	**May 01, 2023**
Outside Seating Area*	**- sqm**		**or upon start of operations, whichever comes first**
Mezzanine Area*	**- sqm**		
Stockroom Area*	**- sqm**	**Turnover Date**	**February 01, 2023**
		Rent Free Period	**February 01, 2023 to April 30, 2023**

MONTHLY RENTAL CHARGES (exclusive of VAT)

	☐ Fixed Rent			**Amount**	**Period (Month/Day/Year)**
Main Area Rental Structure	■ Percentage Rent***		**Outside Seating Rental (per sqm)**		
	Amount	Period (Month/Day/Year)			
Variable rent %	**Straight 6% of GS (waived basic/MGR)**	**Year 1-2: May 01, 2023 to April 30, 2024**	**Mezzanine Rental (per sqm)**		
			Stockroom Rental (per sqm)		
Basic Rent (per sqm)	**₱705**	**Year 3: May 01, 2024 to April 30, 2025**	**Common Area Charges**	**₱140.00**	**Feb. 01, 2023 to Sept. 30, 2025**
	5%		**(per sqm)**	upon turnover	
Minimum Rent (per sqm)	**₱910**				
Sales Quota (per sqm)	**₱4,100**		**Common Area Charges**	**₱140.00**	**May 01, 2023 to Sept. 30, 2025**
			(per sqm)	upon RC date	
	5% annual escalation	**Year 4: May 01, 2025 to April 30, 2026**			
	5% annual escalation	**Year 5: May 01, 2026 to April 30, 2027**		subject to adjustment by Year 4	
	5% annual escalation	**Year 6: May 01, 2027 to April 30, 2028**			

DEPOSITS

	Amount	**Due Date**		**Amount**	**Due Date**
Security Deposit	**₱222,076.00**	**Upon signing**	**Construction Bond**	**₱222,076.00**	**Before turnover**
	₱444,153.00	**Before turnover**			
	₱666,228.00	**Before rental commencement**			

OTHER CHARGES

- Annual Ad and Promo Fee of **Php24,000**
- Board Up Charges payable on or before Turn-over Date
- Electricity, Water, and LPG based on actual consumption
- Centralized Maintenance Activities (Bio-Augmentation Program, Pest Control)
- Estate Association dues at P20.00 per sqm

REQUIRED DOCUMENTS

The Lessee shall submit the following documents within 7 calendar days upon signing of this letter;

- Completed Annex C – concept paper/menu;
- Completed Merchant Information Sheet;
- Copies of SEC/DTI Certificate of Registration, Articles of Incorporation, and Business Permit; Secretary's Certificate
- BIR 2303 (Certificate of Registration);
- If Franchisee - Franchise Agreement, Signed Tripartite agreement and Franchisor documents;
- If Authorized Dealer - Dealership agreement and endorsement letter from Principal.

Lessee

It is understood that the Lessor considers the rent and other charges due hereunder as strictly confidential information and the Lessee hereby agrees not to disclose the same to third parties and not to include in its invoices to customers any mention of such rent and other charges payable to the Lessor. Neither shall the other terms hereunder be divulged to any other party unless otherwise required by law, court order or regulation.

While the terms and conditions herein stated are true and correct as of the date hereof, the same may be amended at the sole discretion of the Lessor, without need of prior notice and consent of the Lessee.

If the terms and conditions herein and those provided at the back hereof are acceptable to you, kindly signify your interest and conformity by signing each page of this letter and on the space provided below, and then please return a signed copy of this letter to us on or before **June 30, 2022**. Informatively, the Leased Premises specified herein is simultaneously being offered to other prospective merchants. As such, the Leased Premises shall be awarded to the merchant who submits the signed copy of this term sheet at the earliest time before the date in the immediately preceding sentence expires.

Should you have any queries or require further assistance on this matter, please feel free to communicate with **Anne Castro** through the following: **0917-3026303** (mobile), or at castroanne.almi@ayalamalls.com.ph (email).

NORTHBEACON COMMERCIAL CORP.
By: Attorneys-in-Fact

PREPARED BY:	APPROVED/NOTED BY:	CONFORME:
Anne Castro **Operations Associate Manager**	**Peachy G. Atendido** **General Manager**	30 Jun. 22 Adrian P. Dimacali

*Subject to joint lease re-measurement upon turnover of space for new malls

**Indicative dates subject to finalization for new malls

***Basic Rent plus Variable Rent or Minimum Rent whichever is higher

OTHER TERMS AND CONDITIONS

The following terms and conditions of the lease form an integral part of and are in addition to those provided in the front page of this lettter and shall remain in full force from the time of the execution of this letter until execution of the lease contract between the parties:

1. Data Privacy – Lessee hereby accepts the terms and conditions provided in the Data Privacy Policy of the Lessor and its parent company (as disclosed in its website: https://www.ayalaland.com.ph/privacy-policy/) and undertakes to, and cause its employees, agents, representatives and assigns to, abide by said terms and conditions as may be necessary in implementing the provisions of this letter. Lessee represents and warrants that its collection, access, use, storage, disposal, and disclosure of any personal information in relation to the transaction contemplated under this letter shall at all times comply with the Data Privacy Act of 2012 and all other applicable data privacy and data protection laws and regulations.

2. Lease Contract – Parties shall be executing a definitive lease contract within the period stated below. The lease contract shall embody the terms of this agreement, among others. It is understood that the terms herein stated are not exclusive and that other terms and conditions governing the lease and operation of an establishment in the Leased Premises shall be included and provided in such lease contract.

3. Early Bird Discount (applicable only to new malls) - Lessee can avail of the early bird discount provided that the Lessee has complied with the following:
(i) Store is fully operational on mall opening date;
(ii) Full payment of: (a) Security Deposit, (b) Construction Bond and (c) Board-up charges
(iii) Submission of signed Contract of Lease

4. Payment of Rent – (i) The Reservation Deposit (one month minimum rent) shall be applied as part of the Security Deposit in the event that the contract of lease is signed by the Lessor and the Lessee and is non-refundable if the Lessee cancels its lease after signing of the term sheet or if any of the events of default as stated below occurs which entitles the Lessor to cancel the lease.
(ii) The due date shall fall on the end of the month. However, if the due date falls on a Saturday, Sunday, or holiday, payment of rent is due on the last working day of the month.
(iii) Outstanding accounts are subject to Interest of 1% and Penalty of 2% per month
(iv) In the event that the Lessee fails to pay the rent and the charges or fees incurred in connection with the supply, consumption and use of air-conditioning, telephone, telex, facsimile, telecommunications, electricity, water and other public services and utilities to the Leased Premises for a period of two (2) consecutive months, the Lessor shall have the right to disconnect or discontinue the supply thereof for such period as it shall determine. This right shall be in addition to the rights provided under section 9 below.

5. Fees and Charges – All fees and charges stated in this letter shall be subject to annual adjustment.

6. Compliance with Rules – Lessee shall comply with the Lessor's Design and Construction Guidelines as well as the House Rules, and with such rules and regulations as may from time to time be imposed, adopted, introduced or amended by the Lessor or any of its representatives.

7. Food Merchants – Food merchants are required to comply and provide an Automatic Fire Suppression System and shall at their own cost, regularly have their kitchen exhaust cleaned and maintained by the Lessor's accredited contractor. Furthermore, Food merchant agrees that its sodas, water, beverages and ice requirements shall be exclusively supplied by the Lessor and/or its accredited supplier.

8. Alterations, Additions or Improvements – Realignment, reconfiguration or upgrade of utilities, any alteration, cut-up, partitioning, addition or improvement within the Leased Premises required by the Lessee for the conduct of its business shall be subject to the prior written consent of the Lessor and such terms and conditions as may be imposed by the Lessor as it deems fit. All alterations, cut-up, partitioning, realignment, reconfiguration or upgrade of utilities, additions or improvements made by the Lessee as well as any alteration, improvement, addition or installation in or on the Leased Premises shall be done in good workmanlike fashion and at the Lessee's cost.

9. Surrender or Return of the Leased Premises – Upon the expiration or termination of the lease, all alterations, additions, improvements, movable fixtures and enhancements made or introduced by the Lessee shall be demolished, removed or dismantled by the Lessee, at its own cost, in a strip to bare condition and in such a way that it will not cause water leak, power interruption, damage or destruction to any improvements introduced by the Lessor in the Leased Premises. Rectification of any damaged portion of the Leased Premises due to the demolition, removal or dismantling shall be at the expense of the Lessee.

10. Termination of the Lease and Consequences – Lessee's failure to: (i) return to Lessor a signed copy of this letter and submit the documents stated in the latter part of this letter on or before the given date, or (ii) execute a definitive contract of lease within sixty (60) days from the release of the contract of lease to the Lessee or any of its officers, employees, agents, representatives or any person found within the Leased Premises, or (iii) strictly comply with any of the abovementioned terms and conditions and perform its obligations under this letter on the dates specified for each, shall be deemed as an event of default and entitle the Lessor to terminate the lease at any time, without need of any judicial action or declaration and without prejudice to the Lessor's right to collect the Lessee's outstanding account and avail of any right or remedy which the Lessor may have under the applicable laws, including the right to forfeit the Lessee's additional security and construction bond.

For this purpose, the Lessee hereby appoints the Lessor as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events of default set forth above and shall have the right to (i) open, enter, padlock, secure, enclose or fence in the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the building or the Leased Premises, (iii) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom without defacing or injuring any ceiling, floor, wall or any portion of the building or Leased Premises, place any of the same in storage and charge the Lessee the corresponding storage fees therefor; (iv) in case the Lessee fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the Lessor within thirty (30) days from the date the Lessor takes possession of the Leased Premises or of the Lessee's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the Lessor from the Lessee, including reasonable expenses incurred by the Lessor in connection with such sale, without prejudice to the right of the Lessor to collect the deficiency, if any. The appointment of the Lessor as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.

Lessee

NORTHBEACON COMMERCIAL CORP.
By: _____
Attorneys-in-Fact

OTHER TERMS AND CONDITIONS

11. Force Majeure shall mean an act, event or cause which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of the LESSOR or the LESSEE. This term includes rebellion, insurrection, labor unrest, lockout, work stoppage, strikes on a citywide or nationwide scale, flood, typhoon, earthquake, robbery, theft, terrorism, or any other crime.

11.1 Occurrence Of Force Majeure: The LESSEE shall give the LESSOR written notice of any damage caused to the Leased Premises by reason of Force Majeure. If the Leased Premises are rendered inaccessible or destroyed or so damaged by Force Majeure, without any fault or omission of the LESSEE, its employees, guests, customers or clients, the damage shall be repaired at the expense of the LESSOR, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to the LESSEE against the LESSOR, except to the extent recognized under Article 11.2.

11.2 Option To Rescind: In the event that (i) the damage resulting from the Force Majeure renders the Leased Premises totally unfit for use or occupation for more than sixty (60) days, or (ii) the repairs required to render the Leased Premises fit for use and occupation are expected to last for more than ninety (90) days, or (iii) Force Majeure prevents any party from conducting its business or interferes with the operations of the Commercial Center for a period of more than sixty (60) days, then either party shall have the right to rescind this Contract by written notice sent to the other party without need of any judicial action at least five (5) business days after the lapse of the applicable period. The rescission of this Contract shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission. The obligation to pay rent and other charges or amounts due hereunder shall continue to be in full force until the date such rescission is effected.

In the event, however, that (i) the damage resulting from the Force Majeure renders the Leased Premises unfit for use or occupation for sixty (60) days or less, or (ii) the repairs required to render the Leased Premises fit for use or occupation are expected to last for ninety (90) days or less, or (iii) either party fails to exercise the option to rescind this Contract within the 5-day period specified therefor, or (iv) Force Majeure prevents any party from conducting its business or interferes with the operations of the Commercial Center for a period of sixty (60) days or less, then the rent due to the LESSOR (which shall be computed in accordance with Article 4) shall be reduced in proportion to the period the LESSEE has not been able to use the Leased Premises. Notwithstanding such proportionate reduction, all the other obligations of the LESSEE as provided hereunder shall remain in full force and effect. In no case shall any compensation or claim be allowed against the LESSOR by reason of the interruption, annoyance or injury caused to the LESSEE or its property arising from the rescission of this Contract, or any interruption in the use or possession of the Leased Premises, or the repair of any portion of the Commercial Center or the Leased Premises

12. Insurance – Prior to construction, Lessee shall be required to secure appropriate Contractors All Risks Insurance based on the full amount of the construction (with comprehensive third party liability extension at a minimum amount of P1,000,000) for the duration of the entire construction, demolition or renovation works.
Prior to start of operations, Lessee shall be required to secure: (1) Commercial or Property All Risks Insurance with business interruption extension and (2) Comprehensive General or Third Party Liability cover (i.e. fire, water damage, food poising) with a minimum limit of P1,000,000 to be renewed yearly for the entire duration of the lease. The insurance coverage shall be obtained by the Lessee from BPIMS from any Ayala Land Inc. (ALI) accredited insurance companies and shall furnish the LESSOR with copies thereof as wells its subsequent renewals.

13. Ayala Malls Loyalty Program and Scan to Pay Facility - The LESSEE agrees to participate in the Ayala Malls loyalty program as part of the LESSOR's marketing initiative to promote the Commercial Center and Ayala Malls. In consideration of the benefits that the LESSEE may derive thereunder, and subject to its successful enrolment thereto as a participating merchant, the LESSEE agrees to adopt such scan-to-pay facility accredited by the LESSOR as one of its payment option in the Leased Premises. Failure of the LESSEE to comply with this shall be considered a material breach of the Contract of Lease.

14. No Infringement by Lessee - The conduct of business as currently conducted and planned to be conducted by the LESSEE in the Leased Premises, including without limitation the making, using, displaying, offering for sale, selling, distributing and/or importing of any product, merchandise or marketing material does not and will not infringe, constitute contributory infringement, inducement to infringe, misappropriation or unlawful use of intellectual property rights of any person. The LESSEE shall defend and indemnify the LESSOR from and against any and all claims, demands, suits, and actions for any damages, liabilities, losses, costs, and expenses attorney fees, arising out of or in connection with any actual or alleged misappropriation, violation, unfair competition, or infringement of any intellectual property right of any person whosoever.

Lessee

NORTHBEACON COMMERCIAL CORP.
By: _____
Attorneys-in-Fact

Level 1

Space no. **1152-1157**



ANNEX C: FOOD

Store Name	
Location/ Building	
Category	
Product Origin	☐ Local ☐ Foreign Franchise ☐ Local carrying imported brands

PRODUCT MIX

Please attached CONCEPT PAPER and MENU

I shall abide with the following regulations of **Northbeacon Commercial Corp.:**

1. that **ONLY** products listed herein and **APPROVED** by **Northbeacon Commercial Corp.**, shall be sold in the store;
2. that **Northbeacon Commercial Corp.** reserves the right to disapprove certain products within the list stated herein;
3. that **ANY ADDITION** or **CHANGE** to product concept or mix shall require prior approval of **Northbeacon Commercial Corp.** management.

CONFORME/DATE:

_____

Printed Name/Signature of Owner

APPROVED BY/DATE:

_____

Leasing Manager
Northbeacon Commercial Corp.

NORTHBEACON COMMERCIAL CORP.

MERCHANT INFORMATION SHEET

Ayala Malls MARQUEEMALL

BUSINESS INFORMATION			
Store Name			
Company Name			
Business Type			
Tax Identification No.			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Nature of Business			
Source of Funds			
(please note that lease contract and renewal letters will be sent to the authorized company address and contact person indicated below)			
Registered Company Address			
Contact Person			
Designation			
Office Landline No. / Mobile No.			
Email Address			
OWNER INFORMATION			
Individuals/Sole Proprietorship			
Name			
Date of Birth			
Place of Birth			
Citizenship			
Civil Status			
Gender			
Corporations			
Beneficial Owner/Ultimate Owner			
CONTACT INFORMATION			
Store Operations **(please note that all circulars and merchant reply letters will be sent to the authorized representative indicated below)**			
Contact Person			
Designation			
Mobile No.			
Email Address			
Finance			
Contact Person			
Designation			
Mobile No.			
Email Address			

CONTRACT SIGNATORY INFORMATION			
Signatory 1			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Specimen Signatures			
Signatory 2			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Specimen Signatures			
Signatory 3			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Specimen Signatures			

Please submit DTI or SEC Registration papers and reports showing the list of owners/ incorporators/stockholders and/or ultimate beneficial owners together with this form; Competent Evidence of Identity with photo: any of the ff: Driver's License, SSS card/ID, GSIS e-card/ID, Postal ID, Voter's ID, Philhealth Card with picture, Passport, PRC ID, NBI clearance; and SPA/secretary's certificate citing the pertinent portion of the Board or Partners' Resolution authorizing the representatives to sign on behalf of the entity. Please also submit all necessary registrations and permits for the conduct of your business in the Leased Premises including but not limited to your business permit and special registrations with government agencies such as but not limited to the BSP and/or AMLC.

By filling out this form, I hereby certify that the information I have provided above are true, correct and accurate. I hereby give full consent to Ayala Malls to collect, record, organize, store, update, use, consolidate, block, erase or otherwise process information, whether personal, sensitive or privileged, pertaining to myself and the transaction subject hereof which will be used for the implementation of the Contract of Lease and/or other legal purpose it may serve. In this connection, I acknowledge that I have read, understood and/or have been duly informed of the terms and conditions pertaining to the data privacy practices of Ayala Malls and the entities comprising such as reflected in Ayala Malls Data Privacy Policy at https://www.ayalaland.com.ph/privacy-policy/ and I hereby express my full conformity thereto.

Prepared by:

_____

Printed Name/Signature of Owner

_____

Date